Strategic report

Group Chief Executive's statement

The group delivered a resilient performance in a challenging market, supported by a strong balance sheet and disciplined capital allocation. The board remains focused on cash generation, customer service and long-term value creation for all stakeholders. The group delivered a resilient performance in a challenging market, supported by a strong balance sheet and disciplined capital allocation. The board remains focused on cash generation, customer service and long-term value creation for all stakeholders. The group delivered a resilient performance in a challenging market, supported by a strong balance sheet and disciplined capital allocation. The board remains focused on cash generation, customer service and long-term value creation for all stakeholders.

Consolidated income statement

For the year ended 31 December 2025

	Notes	2025 £m	2024 £m
Interest income	5	4,000	3,600
Interest expense	5	(1,800)	(1,500)
Net interest income		2,200	2,100
Net fee and commission income	6	500	480
Total income		2,700	2,580
Operating expenses	7	(1,500)	(1,450)
Impairment charge	8	(200)	(180)
Profit before tax		1,000	950
Tax expense	9	(250)	(240)
Profit for the year		**750**	**710**

Consolidated balance sheet

At 31 December 2025

	Notes	2025 £m	2024 £m
Assets			
Cash and balances at central banks	10	5,000	4,800
Loans and advances to banks	11	2,000	2,100
Loans and advances to customers	12	40,000	38,500
Debt securities	13	6,000	5,900
Total assets		**53,000**	**51,300**
Liabilities			
Deposits from banks	14	1,500	1,600
Customer deposits	15	42,000	40,500
Debt securities in issue	16	5,500	5,300
Total liabilities		**49,000**	**47,400**
Equity			
Share capital		1,000	1,000
Retained earnings		3,000	2,900
Total equity		**4,000**	**3,900**